Topic 1 - Auditing Activity

Failed Audits

The auditing profession and the effectiveness of audits has been questioned in recent years, both before and after the COVID pandemic.

The following articles highlight auditing issues identified in 2019 and 2017 respectively:

In February 2019, The Guardian newspaper produced the following article regarding audit scandals.

https://www.theguardian.com/business/2019/feb/01/decline-in-quality-auditors-face-scrutiny-over-string-of-scandals

Five months later, in July 2019, Reuters produced the following article regarding the effectiveness of audits in the UK:

https://uk.reuters.com/article/uk-britain-accounts-regulator/uk-watchdog-says-all-top-accountants-fail-audit-quality-test-idUKKCN1U42QN

The key item identified as part of the review, was that only 75% of the sample of audits from among Britain's 350 top listed companies for the year ending December 2017 met the 90% target overall as accountants failed to challenge information clients gave to them, the FRC said.

Required:

Review academic and professional articles regarding audit effectiveness and efficiency from the articles in 2019 to the current date to understand whether the effectiveness of audits has improved since 2019, and any impact of the pandemic to the auditing profession.